appointment. Failure on the part the auditor shall be treated as a breach of professional ethics.

- Where his appointment is made by the shareholders in annual general meeting, he should procure a copy of the shareholders resolution regarding his appointment, and inform the Registrar within 30 days whether he is accepting the appointment.
- Where he is appointed in a casual vacancy, by the directors, he should obtain a copy of the director's resolution to this effect.

2. Inspection of Documents, Contracts and Registers

He should obtain a certified list of all the books used in the company and examine the records, documents and registers with reference to the following:

(a) **Memorandum of Association:** The Memorandum of Association is the basic document of the company. It authorizes a company to engage in specific activities. Therefore, it is necessary for the auditor to examine the scope and powers of the company. The auditor should have a complete study of Memorandum of Association in the following aspects:

- Whether the transactions carried by the company is subject to the clauses in the Memorandum of Association, if not the transactions of the company become ultravires.
- The auditor has to check the share capital issued is within the authorized capital.
- He should scrutinize the object clause and borrowing powers of the company.
- He has to check other provisions,



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